WEEK 3 · LECTURE L3 · UNIT II

Psychological Capital

Hope, efficacy, resilience and optimism as developable resources, and how the four Unit II theories fit together.

R K Singh · Senior Professor, Department of Commerce · Delhi School of Economics, University of Delhi

DSEH004 · Performance Management and Employee Engagement · M.Com. PGCF 2025 · Exam preparation edition

AFTER THIS LECTURE YOU SHOULD BE ABLE TO

What this lecture prepares you for

- Define the four components of psychological capital and their roots.
- Explain Bandura's four sources of self efficacy.
- Evaluate the evidence that psychological capital matters and can be developed.
- Integrate Kahn, Job Demands Resources, self determination and psychological capital.

COURSE OUTCOMES

CLO 3 (evaluate motivation theories) and CLO 5 (translate them into interventions).

COMMIT BEFORE THEORY

Optimism is a personality trait. Training cannot change it.

Agree or disagree. What would count as evidence?

Psychological capital: HERO

Component	Definition	Theoretical root
Hope	Willpower and waypower: agency and pathways to goals	Snyder's hope theory
Efficacy	Confidence to succeed at a specific task	Bandura (1997)
Resilience	Bouncing back from adversity, and beyond	Developmental psychology
Optimism	Explaining good events as lasting and bad ones as temporary	Seligman's explanatory style

EXAM LENS

Psychological capital is state like: more open to development than traits, more stable than moods.

HOW EFFICACY IS BUILT · BANDURA (1997)

Four sources of self efficacy

MASTERY EXPERIENCES

Succeeding at tasks of rising difficulty: the strongest source.

VICARIOUS EXPERIENCE

Seeing similar others succeed.

VERBAL PERSUASION

Credible encouragement from others.

PHYSIOLOGICAL STATES

How the body's arousal is interpreted.

THEORY IN DEPTH · LUTHANS ET AL. (2006)

Can psychological capital be developed?

THE CORE IDEA

Psychological capital is a developable state, so short interventions should raise it.

HOW IT WORKS

A brief, structured micro intervention on goals, pathways and obstacles raised participants' psychological capital.

LIMITS AND CRITIQUE

Short follow up and self report outcomes; lasting change at work is less certain.

IN PRACTICE

A bank runs two hour workshops for new branch managers on planning routes around obstacles.

EXAM LENS

Use it to show the construct is developable, which separates it from traits. Note the short follow up.

THEORY IN DEPTH · AVEY ET AL. (2011); NEWMAN ET AL. (2014)

Does psychological capital matter?

THE CORE IDEA

Psychological capital relates to desirable attitudes, behaviors and performance at work.

HOW IT WORKS

It related positively to satisfaction, commitment, wellbeing and performance; negatively to cynicism and turnover intentions.

LIMITS AND CRITIQUE

Overlap with related constructs and reliance on self report remain open problems.

IN PRACTICE

A firm adds a psychological capital scale to its survey; scores correlate with retention, but cause is unproven.

EXAM LENS

Cite Avey et al. for the effects and Newman et al. for the critique. Balanced use earns the critical analysis marks.

COMPARE AND EVALUATE

Four theories, four scarce things

Theory	What is scarce	Intervention it implies
Kahn	Meaning, safety, availability	Repair the conditions for presence
Job Demands Resources	Job resources against demands	Add resources; remove hindrances
Self determination	Satisfaction of needs	Autonomy supportive management
Psychological capital	Personal resources	Develop hope, efficacy, resilience, optimism

EXAM LENS

Self determination locates the problem in the context; psychological capital in the person. Say which you are assuming.

APPLY IT · ILLUSTRATIVE CASES

Choosing the right lens

A NEW GRADUATE TRAINEE

Low efficacy after early mistakes. Build mastery through graded tasks and a peer model.

A PLANT AFTER LAYOFFS

Survivors fear for their jobs. Safety and trust come before any optimism training.

A SALES TEAM IN A SLUMP

Hope and optimism matter, but so do fair targets and resources.

EXAM TIP

Illustrations for analysis, not real firms. Warn against training individuals to cope with a broken context.

PRACTICE FOR THE END TERM EXAMINATION

Questions to rehearse

Compare self determination theory and psychological capital as explanations of motivation at work. **20 marks**

A strong answer: defines both; contrasts context versus person; uses evidence from Avey et al. and Deci and Ryan; shows how they combine.

"Psychological capital training is a way of making employees cope with bad management." Critically evaluate. **20 marks**

A strong answer: explains the construct and Luthans et al.; raises the context critique; uses Job Demands Resources; proposes a balanced design.

Explain Bandura's four sources of self efficacy. **10 marks**

A strong answer: names all four; ranks mastery as strongest; one workplace example each.

CARRY THESE INTO THE EXAMINATION

Three things to remember

1. Psychological capital is state like, so it can be developed
2. Mastery experience is the strongest source of efficacy
3. Do not train people to cope with a context that should be fixed

SET READINGS · FROM THE LESSON PLAN

Read for this lecture

Deci, E. L., & Ryan, R. M. (2008). Self determination theory: A macrotheory of human motivation, development, and health. *Canadian Psychology, 49*(3), 182–185.

Csikszentmihalyi, M. (1990). *Flow: The psychology of optimal experience*. Harper & Row. Chapters 1 to 2.

Pink, D. H. (2009). *Drive: The surprising truth about what motivates us*. Riverhead Books. Chapters 1 to 3.

Luthans, F., Youssef, C. M., & Avolio, B. J. (2007). *Psychological capital: Developing the human competitive edge*. Oxford University Press. Chapter 1.

HOW TO USE THESE

These are the Week 3 set readings. Luthans, Youssef and Avolio (2007) is the core reading for this lecture.

Sources for this lecture (1 of 2)

Works named on the slides of this lecture. They are background sources, not set readings.

Avey, J. B., Reichard, R. J., Luthans, F., & Mhatre, K. H. (2011). Meta analysis of the impact of positive psychological capital on employee attitudes, behaviors, and performance. *Human Resource Development Quarterly, 22*(2), 127–152. https://doi.org/10.1002/hrdq.20070

Bandura, A. (1997). *Self efficacy: The exercise of control*. W. H. Freeman.

Luthans, F., Avey, J. B., Avolio, B. J., Norman, S. M., & Combs, G. M. (2006). Psychological capital development: Toward a micro intervention. *Journal of Organizational Behavior, 27*(3), 387–393. https://doi.org/10.1002/job.373

Luthans, F., Youssef, C. M., & Avolio, B. J. (2007). *Psychological capital: Developing the human competitive edge*. Oxford University Press.

Sources for this lecture (2 of 2)

Newman, A., Ucbasaran, D., Zhu, F., & Hirst, G. (2014). Psychological capital: A review and synthesis. *Journal of Organizational Behavior, 35*(S1), S120–S138. https://doi.org/10.1002/job.1916